Failure and Opinion Decomposition: Matched Weighted

Warned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.020361*	0.000438	0.015851	0.032481**
	(0.012136)	(0.002852)	(0.021780)	(0.015329)
p	0.0948	0.8781	0.4675	0.0352
Observations	1,763	1,763	1,763	1,763

Warned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	0.018901*	0.024519	0.018463*
	(0.010598)	(0.021786)	(0.010812)
p	0.0758	0.2616	0.0890
Observations	1,763	1,763	1,763

MAO / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.020284	-0.020284	-0.020284	-0.020284
	(0.035666)	(0.035666)	(0.035666)	(0.035666)
p	0.5701	0.5701	0.5701	0.5701
Observations	1,763	1,763	1,763	1,763

MAO / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.020284	-0.020284	-0.020284
	(0.035666)	(0.035666)	(0.035666)
p	0.5701	0.5701	0.5701
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.